

	Symbol	Benchmark
Total Bond Market Funds		
Vanguard Total Bond Market*	VBMFX	Barclays Capital U.S. Aggregate Bond Index
iShares Barclays Aggregate	AGG	Barclays Capital U.S. Aggregate Bond Index
Vanguard Short-Term Bond Index*	VBISX	Barclays 1–5 Government/Credit Index
Treasury Inflation-Protected Bonds		
Vanguard Inflation-Protected Securities	VIPSX	Barclays Treasury Inflation Notes Index
iShares Barclays TIPS Bond	TIP	Barclays Treasury Inflation Notes Index
Individual iBonds	Purchase through banks or the U.S. Treasury	
High-Yield Corporate Bonds		
Vanguard High-Yield Corporate Bonds	VWEHX	Actively managed B–BB grade
Foreign Bond Funds		
iShares S&P/Citigroup International Treasury Bond	IGOV	Japan is 25% of the fund
iShares JPMorgan USD Emerging Markets	EMB	BB rated bonds
Municipal Bond Funds		
Vanguard Inter-Term Tax-Exempt	VWITX	Actively managed, 6–12 years
Vanguard Limited-Term Tax-Exempt	VMLTX	Actively managed, 2–6 years

*Vanguard ETFs are also available.

CHAPTER SUMMARY

A well-diversified portfolio contains both fixed-income and equity investments. To obtain maximum benefit, the fixed-income portion of the portfolio should also be broadly diversified into several different fixed-income categories and rebalanced annually. Asset allocation of fixed-income investments leads to higher overall returns with little increase in portfolio risk.